CIA Part 1 – Questions 601–700 (Hard, Wilson-Style)

Coordination, Reporting, Risk & Control, Engagement Planning, QAIP & Glossary

Study Deck

October 17, 2026

Format

100 new questions (Q601–Q700), none repeated from Q1–Q600.

Focus shift: coordination/reliance, reporting lines, governance, risk management, controls, engagement risk, communication criteria, dissemination, QAIP, glossary.

Style: "which is best," "which is LEAST likely," "MOST likely."

Each: stem + A–D, then a detailed explanation slide.

Q601

Question: Which is the BEST description of "coordination" under Standard 2050?

A. Sharing all workpapers with everyone.

B. Coordinating activities with other assurance providers to ensure adequate coverage and minimize duplication.

C. Avoiding contact with other assurance providers.

D. Letting external audit direct internal audit.

Correct Answer: B

Q601 – Explanation

Correct: B. Standard 2050 requires coordination to ensure adequate coverage and minimize duplication.

A wrong: Unrestricted sharing may breach confidentiality.

C wrong: Avoidance causes duplication and gaps.

D wrong: External audit does not direct internal audit.

Q602

Question: Which is the MOST appropriate way for internal audit to rely on another assurance provider's work?

A. Rely without evaluation.

B. Evaluate the provider's competence, objectivity, and work quality before relying.

C. Rely only if the provider is a friend.

D. Rely only if it is cheap.

Correct Answer: B

Q602 – Explanation

Correct: B. Before relying, evaluate competence, objectivity, and work quality.

A wrong: Blind reliance is improper.

C wrong: Friendship is not a criterion.

D wrong: Cost is not a criterion.

Q603

Question: Which is the BEST description of "reporting to senior management and the board" under Standard 2060?

A. Reporting only at year-end.

B. Reporting significant risk and control issues, including fraud risk and governance.

C. Reporting only good news.

D. Reporting to the media.

Correct Answer: B

Q603 – Explanation

Correct: B. Standard 2060 requires reporting significant risk and control issues, including fraud and governance.

A wrong: Reporting is ongoing as issues arise.

C wrong: Bad news must be reported.

D wrong: Media reporting is inappropriate.

Q604

Question: Which is the MOST appropriate way for internal audit to assess governance under Standard 2110?

A. Evaluate the marketing plan.

B. Evaluate ethics, board interaction, and governance processes.

C. Prepare financial statements.

D. Set strategy.

Correct Answer: B

Q604 – Explanation

Correct: B. Standard 2110 requires assessing governance, ethics, and board interaction.

A wrong: Marketing is unrelated.

C wrong: Financial statements are management's role.

D wrong: Strategy is management/board's role.

Q605

Question: Which is the BEST description of "risk management" under Standard 2120?

A. Preparing financial statements.

B. Identifying, assessing, managing, and controlling risks.

C. Setting strategy.

D. Marketing.

Correct Answer: B

Q605 – Explanation

Correct: B. Risk management identifies, assesses, manages, and controls risk (Standard 2120).

A wrong: Financial statements are separate.

C wrong: Strategy is management's role.

D wrong: Marketing is unrelated.

Q606

Question: Which is the MOST appropriate way to assess the adequacy of an organization's control processes?

A. Count controls.

B. Evaluate whether controls mitigate risks within risk tolerance.

C. Interview the CEO only.

D. Review the budget.

Correct Answer: B

Q606 – Explanation

Correct: B. Controls are adequate if they manage risks within tolerance (Standard 2130).

A wrong: Count is not adequacy.

C wrong: CEO-only interviews are insufficient.

D wrong: Budget review is irrelevant.

Q607

Question: Which is the MOST appropriate way to perform engagement-level risk assessment under Standard 2210.A3?

A. Ignore risks.

B. Assess risks relevant to the engagement's objectives and scope.

C. Rely on last year's assessment only.

D. Use only management's risk register.

Correct Answer: B

Q607 – Explanation

Correct: B. Engagement-level risk assessment considers risks relevant to objectives and scope (Standard 2210.A3).

A wrong: Ignoring risk violates the Standards.

C wrong: Prior assessments are not enough.

D wrong: Management registers are one input.

Q608

Question: Which is the BEST description of "engagement resource allocation" under Standard 2230?

A. Random allocation.

B. Based on the nature, complexity, and risk of the engagement.

C. Equal allocation.

D. Based on auditor tenure only.

Correct Answer: B

Q608 – Explanation

Correct: B. Resources should be allocated based on nature, complexity, and risk (Standard 2230).

A wrong: Random allocation ignores risk.

C wrong: Equal allocation ignores risk.

D wrong: Tenure alone is not risk-based.

Q609

Question: Which is the MOST appropriate way to evaluate information quality under Standard 2310?

A. Assess sufficiency, reliability, relevance, and usefulness.

B. Accept all information.

C. Ignore contradictory information.

D. Use only digital data.

Correct Answer: A

Q609 – Explanation

Correct: A. Standard 2310 requires sufficient, reliable, relevant, and useful information.

B wrong: Not all information is adequate.

C wrong: Contradictory evidence must be considered.

D wrong: Information types vary.

Q610

Question: Which is the BEST description of "analysis and evaluation" under Standard 2320?

A. Gathering information.

B. Analyzing and evaluating information to reach conclusions.

C. Preparing the report.

D. Setting strategy.

Correct Answer: B

Q610 – Explanation

Correct: B. Standard 2320 requires analysis and evaluation of information to reach conclusions.

A wrong: Gathering is Standard 2310.

C wrong: Reporting is Standard 2400.

D wrong: Strategy is management's role.

Q611

Question: Which is the MOST appropriate way to evaluate "quality of communications" under Standard 2420?

A. Long and complex.

B. Accurate, objective, clear, concise, constructive, complete, and timely.

C. Verbal only.

D. Digital only.

Correct Answer: B

Q611 – Explanation

Correct: B. Standard 2420 lists the seven quality criteria.

A wrong: Length and complexity are not criteria.

C wrong: Communications may be written or verbal.

D wrong: Format is flexible.

Q612

Question: Which is the BEST description of "dissemination of results" under Standard 2440?

A. Sharing results with everyone.

B. Distributing results to appropriate parties as defined by the engagement.

C. Publishing online.

D. Hiding results.

Correct Answer: B

Q612 – Explanation

Correct: B. Results are disseminated to appropriate parties (Standard 2440.A1).

A wrong: Not everyone needs the results.

C wrong: Publishing may breach confidentiality.

D wrong: Hiding results violates the Standards.

Q613

Question: Which is the MOST appropriate action if a communication contains confidential information that must be shared with the board?

A. Share without limitation.

B. Share with the board but limit broader dissemination.

C. Publish it.

D. Hide it from the board.

Correct Answer: B

Q613 – Explanation

Correct: B. Confidential information may be shared with the board, but broader dissemination should be restricted (Standard 2440.A2).

A wrong: Unrestricted sharing breaches confidentiality.

C wrong: Publishing is improper.

D wrong: The board needs the information.

Q614

Question: Which is the MOST appropriate way to perform ongoing internal QAIP assessments?

A. Continuously evaluate engagement performance.

B. Only one-time external reviews.

C. Review the budget only.

D. Random surveys only.

Correct Answer: A

Q614 – Explanation

Correct: A. Ongoing internal assessments evaluate performance continuously (Standard 1311).

B wrong: External reviews are separate.

C wrong: Budget review is not a QAIP.

D wrong: Surveys are one input.

Q615

Question: Which is the MOST appropriate action if an external quality assessment finds significant nonconformance?

A. Ignore it.

B. Develop an action plan and report to the board.

C. Hide the results.

D. Blame the assessor.

Correct Answer: B

Q615 – Explanation

Correct: B. Significant nonconformance requires an action plan and board reporting (Standard 1320).

A wrong: Ignoring findings violates the Standards.

C wrong: Hiding results is misconduct.

D wrong: Blaming the assessor is improper.

Q616

Question: Which is the BEST description of "conformance" reporting under Standard 2430?

A. The audit fee.

B. Reporting conformance with the Standards and Code to the board.

C. The marketing results.

D. The budget.

Correct Answer: B

Q616 – Explanation

Correct: B. The CAE reports conformance with the Standards and Code to the board (Standard 2430).

A wrong: Fees are unrelated.

C wrong: Marketing is unrelated.

D wrong: The budget is a resource.

Q617

Question: Which is the MOST appropriate topic for the CAE to raise in a private session with the board?

A. Marketing plans.

B. Sensitive issues management may not want raised.

C. The cafeteria menu.

D. Individual auditors' salaries.

Correct Answer: B

Q617 – Explanation

Correct: B. Private sessions allow raising sensitive issues directly with the board.

A wrong: Marketing is unrelated.

C wrong: Trivial.

D wrong: Salary details are administrative.

Q618

Question: Which is the MOST appropriate way to handle a scope restriction imposed by management?

A. Accept it.

B. Report it to the board per the charter.

C. Ignore it.

D. Change objectives.

Correct Answer: B

Q618 – Explanation

Correct: B. Scope restrictions are reported to the board (Standard 1130/2600).

A wrong: Accepting restrictions compromises the engagement.

C wrong: Ignoring is improper.

D wrong: Objectives should not be changed silently.

Q619

Question: Which is the MOST likely red flag for fraudulent financial reporting?

A. Revenue growth consistent with cash flow.

B. Revenue growth far exceeding cash flow.

C. Strong controls.

D. Timely reporting.

Correct Answer: B

Q619 – Explanation

Correct: B. Revenue outpacing cash flow may indicate fictitious or premature revenue.

A wrong: Consistency is positive.

C wrong: Strong controls reduce risk.

D wrong: Timely reporting is positive.

Q620

Question: Which is the MOST appropriate action if internal audit is asked to investigate a suspected fraud?

A. Interrogate suspects.

B. Support the investigation with evidence gathering while management/legal lead.

C. Decide guilt.

D. Impose discipline.

Correct Answer: B

Q620 – Explanation

Correct: B. Internal audit supports investigations with evidence; management/legal lead.

A wrong: Interrogation is legal/HR's role.

C wrong: Determining guilt is judicial.

D wrong: Discipline is management's role.

Q621

Question: Which is the BEST description of "fraud risk factors"?

A. Conditions that increase the likelihood of fraud.

B. The audit fee.

C. The budget.

D. The marketing plan.

Correct Answer: A

Q621 – Explanation

Correct: A. Fraud risk factors are conditions that increase fraud likelihood (incentive, opportunity, rationalization).

B wrong: Fees are unrelated.

C wrong: The budget is a resource.

D wrong: Marketing is unrelated.

Q622

Question: Which is the BEST description of "process owner" in the IIA Glossary?

A. The person or group responsible for the activity being assessed.

B. The auditor performing the audit.

C. The audit committee.

D. The external auditor.

Correct Answer: A

Q622 – Explanation

Correct: A. The process owner is responsible for the activity being assessed.

B wrong: That is the internal auditor.

C wrong: The board oversees.

D wrong: The external auditor is separate.

Q623

Question: Which is the BEST description of "auditee" in the IIA Glossary?

A. The person or group being audited.

B. The auditor.

C. The board.

D. The external auditor.

Correct Answer: A

Q623 – Explanation

Correct: A. The auditee is the person or group being audited.

B wrong: That is the auditor.

C wrong: The board oversees.

D wrong: The external auditor is separate.

Q624

Question: Which is the BEST description of "stakeholder" in the IIA Glossary?

A. Anyone with an interest in the organization.

B. The auditor.

C. The budget.

D. The audit plan.

Correct Answer: A

Q624 – Explanation

Correct: A. Stakeholders are those with an interest in the organization (board, management, regulators, public).

B wrong: The auditor is one participant.

C wrong: The budget is a resource.

D wrong: The plan is a tool.

Q625

Question: Which is the BEST description of "process" in the IIA Glossary?

A. A set of interrelated activities to achieve an objective.

B. The audit report.

C. The budget.

D. The marketing plan.

Correct Answer: A

Q625 – Explanation

Correct: A. A process is a set of interrelated activities to achieve an objective.

B wrong: The report is an output.

C wrong: The budget is a resource.

D wrong: Marketing is unrelated.

Q626

Question: Which is the MOST appropriate way to assess the adequacy of the internal audit function's resources?

A. Count auditors.

B. Assess whether resources suffice to achieve the plan and mandate.

C. Review the budget only.

D. Interview the CEO.

Correct Answer: B

Q626 – Explanation

Correct: B. Resource adequacy is measured by ability to achieve the plan and mandate (Standard 2030).

A wrong: Headcount alone is insufficient.

C wrong: Budget alone is not adequacy.

D wrong: CEO input is not assessment.

Q627

Question: Which is the BEST description of "audit committee" oversight of internal audit?

A. It performs audits.

B. It oversees independence, performance, and results.

C. It writes workpapers.

D. It sets the audit fee.

Correct Answer: B

Q627 – Explanation

Correct: B. The audit committee oversees independence, performance, and results.

A wrong: Internal audit performs audits.

C wrong: Workpapers are internal audit's.

D wrong: Fees are administrative.

Q628

Question: Which is the MOST appropriate way to test the completeness of recorded liabilities?

A. Vouch from the ledger to invoices.

B. Trace from receiving reports and invoices to the ledger.

C. Confirm payables.

D. Review the budget.

Correct Answer: B

Q628 – Explanation

Correct: B. Tracing from source to ledger tests completeness.

A wrong: Ledger-to-invoices tests existence.

C wrong: Confirmations test existence.

D wrong: Budgets are not evidence.

Q629

Question: Which is the MOST likely effect of a strong internal audit function on governance?

A. It weakens governance.

B. It strengthens governance via assurance and advice.

C. It has no effect.

D. It replaces the board.

Correct Answer: B

Q629 – Explanation

Correct: B. Internal audit strengthens governance.

A wrong: It strengthens.

C wrong: It has significant effect.

D wrong: It does not replace the board.

Q630

Question: Which is the MOST appropriate way to test the accuracy of a vendor invoice before payment?

A. A single signature.

B. A three-way match (PO, receipt, invoice).

C. A phone call.

D. A budget review.

Correct Answer: B

Q630 – Explanation

Correct: B. The three-way match verifies quantity, price, and receipt.

A wrong: Single signature is weak.

C wrong: Phone call is not structured.

D wrong: Budget review is not verification.

Q631

Question: Which is the BEST description of "materiality"?

A. A fixed percentage.

B. The magnitude of an omission or misstatement that would influence a reasonable user.

C. The audit fee.

D. The budget.

Correct Answer: B

Q631 – Explanation

Correct: B. Materiality is a judgment about user influence.

A wrong: No fixed percentage.

C wrong: Fees are unrelated.

D wrong: The budget is a resource.

Q632

Question: Which is the MOST appropriate action if the auditor discovers the auditee destroyed evidence?

A. Reconstruct it.

B. Document the destruction and notify legal/board.

C. Ignore it.

D. Confront aggressively.

Correct Answer: B

Q632 – Explanation

Correct: B. Spoliation may be illegal; document and escalate.

A wrong: Reconstruction may be impossible.

C wrong: Ignoring is improper.

D wrong: Aggression escalates risk.

Q633

Question: Which is the BEST description of "control deficiency"?

A. A costly control.

B. A missing or ineffective control that fails to prevent or detect misstatement timely.

C. An undocumented control.

D. An IT control.

Correct Answer: B

Q633 – Explanation

Correct: B. Deficiency = missing or ineffective control.

A wrong: Cost is not deficiency.

C wrong: Documentation gap is one type.

D wrong: Ownership irrelevant.

Q634

Question: Which is the MOST appropriate way to test access controls in an ERP?

A. Review the IT budget.

B. Compare user access to the access matrix.

C. Interview the CIO.

D. Review firewall policy only.

Correct Answer: B

Q634 – Explanation

Correct: B. Comparing access to matrix tests control.

A wrong: Budget not a test.

C wrong: Inquiry weak.

D wrong: Firewall only one piece.

Q635

Question: Which is the BEST description of "material weakness"?

A. Minor deficiency.

B. Deficiency creating reasonable possibility of material misstatement.

C. Documentation gap.

D. Training need.

Correct Answer: B

Q635 – Explanation

Correct: B. Material weakness creates reasonable possibility of material misstatement.

A wrong: Minor less severe.

C wrong: Doc gap may not be material.

D wrong: Training not definition.

Q636

Question: Which is the MOST appropriate action if the auditor finds evidence of management override?

A. Ignore it.

B. Increase substantive testing and report.

C. Reduce testing.

D. Rely on management.

Correct Answer: B

Q636 – Explanation

Correct: B. Override increases testing and must be reported.

A wrong: Ignoring improper.

C wrong: Testing increases.

D wrong: Relying improper.

Q637

Question: Which is the BEST description of "reasonable assurance"?

A. Absolute certainty.

B. High but not absolute assurance.

C. No assurance.

D. Management guarantee.

Correct Answer: B

Q637 – Explanation

Correct: B. Reasonable assurance is high-level, limited by evidence.

A wrong: Absolute impossible.

C wrong: Not zero.

D wrong: Management can't guarantee.

Q638

Question: Which is the MOST appropriate way to handle suspected fraud?

A. Investigate personally.

B. Notify appropriate authorities and recommend investigation.

C. Ignore until year-end.

D. Destroy evidence.

Correct Answer: B

Q638 – Explanation

Correct: B. Internal audit reports indicators; investigation is management/legal's role.

A wrong: Personal investigation may compromise.

C wrong: Delay allows fraud.

D wrong: Destroying is illegal.

Q639

Question: Which is the BEST description of "control environment"?

A. IT firewall.

B. Tone of the organization regarding ethics and control.

C. Audit plan.

D. External audit opinion.

Correct Answer: B

Q639 – Explanation

Correct: B. Control environment is tone at the top.

A wrong: Firewalls are control activities.

C wrong: Plan is a tool.

D wrong: External opinion unrelated.

Q640

Question: Which is the MOST appropriate way to handle a request to audit a process the auditor previously managed?

A. Proceed.

B. Disclose and request reassignment.

C. Proceed with smaller sample.

D. Ignore prior role.

Correct Answer: B

Q640 – Explanation

Correct: B. Prior responsibility impairs objectivity; disclose and reassign (Standard 1130).

A wrong: Proceeding violates objectivity.

C wrong: Smaller sample doesn't cure.

D wrong: Prior role can't be ignored.

Q641

Question: Which is the BEST evidence of existence of inventory?

A. Perpetual records.

B. Physical observation.

C. Interview with warehouse manager.

D. Purchase budget.

Correct Answer: B

Q641 – Explanation

Correct: B. Physical observation is strongest.

A wrong: Records are internal.

C wrong: Inquiry weak.

D wrong: Budgets not existence evidence.

Q642

Question: Which is the BEST description of "residual risk"?

A. Risk before controls.

B. Risk remaining after controls.

C. Audit risk.

D. Inherent risk.

Correct Answer: B

Q642 – Explanation

Correct: B. Residual risk is remaining after controls.

A wrong: That is inherent.

C wrong: Audit risk is auditor's.

D wrong: Inherent before controls.

Q643

Question: Which is the MOST appropriate way to coordinate with external audit?

A. Share all workpapers.

B. Coordinate timing/scope while maintaining independence.

C. Let external audit direct internal audit.

D. Avoid contact.

Correct Answer: B

Q643 – Explanation

Correct: B. Coordinate while preserving independence.

A wrong: Unrestricted sharing may breach confidentiality.

C wrong: External audit does not direct.

D wrong: Avoidance wastes benefits.

Q644

Question: Which is the BEST description of "fraud triangle"?

A. Risk, control, detection.

B. Pressure, opportunity, rationalization.

C. Plan, do, check.

D. Cash, inventory, receivables.

Correct Answer: B

Q644 – Explanation

Correct: B. Cressey's triangle: pressure, opportunity, rationalization.

A wrong: That's audit risk model.

C wrong: That's PDCA.

D wrong: Those are accounts.

Q645

Question: Which is the MOST appropriate way to test segregation of duties?

A. Observe one transaction.

B. Examine system access rights and user roles.

C. Interview manager.

D. Review org chart.

Correct Answer: B

Q645 – Explanation

Correct: B. Access rights and roles show separation.

A wrong: One observation limited.

C wrong: Inquiry weak.

D wrong: Org chart not system access.

Q646

Question: Which is the BEST description of "inherent risk"?

A. Risk after controls.

B. Risk before controls.

C. Risk auditor misses.

D. Risk of fraud.

Correct Answer: B

Q646 – Explanation

Correct: B. Inherent risk is before controls.

A wrong: After controls = residual.

C wrong: Miss = detection risk.

D wrong: Fraud is source.

Q647

Question: Which is the BEST description of "detection risk"?

A. Risk auditor misses misstatement.

B. Risk control fails.

C. Risk before controls.

D. Risk of fraud.

Correct Answer: A

Q647 – Explanation

Correct: A. Detection risk is auditor's risk of missing.

B wrong: That's control risk.

C wrong: That's inherent risk.

D wrong: Fraud is a source.

Q648

Question: Which is the MOST appropriate way to test reconciliation control?

A. Review policy.

B. Re-perform reconciliation.

C. Interview preparer.

D. Review budget.

Correct Answer: B

Q648 – Explanation

Correct: B. Re-performing tests operation.

A wrong: Policy review tests design.

C wrong: Inquiry weak.

D wrong: Budget irrelevant.

Q649

Question: Which is the BEST description of "materiality"?

A. Fixed percentage.

B. Magnitude that would influence reasonable user.

C. Audit fee.

D. Budget.

Correct Answer: B

Q649 – Explanation

Correct: B. Materiality is judgment about user influence.

A wrong: No fixed percentage.

C wrong: Fees unrelated.

D wrong: Budget is resource.

Q650

Question: Which is the MOST appropriate action if auditor discovers conflict of interest?

A. Ignore.

B. Document and report through channels.

C. Confront directly.

D. Discuss with media.

Correct Answer: B

Q650 – Explanation

Correct: B. Document and report.

A wrong: Ignoring improper.

C wrong: Confrontation may compromise.

D wrong: Media inappropriate.

Q651

Question: Which is the BEST description of "cyber hygiene"?

A. Marketing strategy.

B. Basic practices like patching, backups, access control.

C. Audit report.

D. Budget.

Correct Answer: B

Q651 – Explanation

Correct: B. Cyber hygiene includes patching, backups, access control.

A wrong: Marketing unrelated.

C wrong: Report is output.

D wrong: Budget is resource.

Q652

Question: Which is the MOST appropriate way to test completeness of fixed asset additions?

A. Trace from ledger to invoices.

B. Trace from receiving to ledger.

C. Review budget.

D. Interview controller.

Correct Answer: B

Q652 – Explanation

Correct: B. Source to ledger tests completeness.

A wrong: Ledger to invoices tests existence.

C wrong: Budget not evidence.

D wrong: Inquiry weak.

Q653

Question: Which is the BEST description of "data governance"?

A. Marketing.

B. Processes to manage data quality, security, use.

C. Audit report.

D. Budget.

Correct Answer: B

Q653 – Explanation

Correct: B. Data governance manages quality, security, use.

A wrong: Marketing unrelated.

C wrong: Report is output.

D wrong: Budget is resource.

Q654

Question: Which is the MOST likely effect of a data breach?

A. Increased revenue.

B. Reputational damage, legal liability, financial loss.

C. Stronger controls.

D. Better marketing.

Correct Answer: B

Q654 – Explanation

Correct: B. Breaches cause reputational, legal, financial harm.

A wrong: Revenue not increased.

C wrong: Controls questioned.

D wrong: Marketing unrelated.

Q655

Question: Which is the BEST way to test completeness of IT change logs?

A. Review policy.

B. Compare logs to deployment and approvals.

C. Interview IT director.

D. Review budget.

Correct Answer: B

Q655 – Explanation

Correct: B. Comparing tests completeness.

A wrong: Policy tests design.

C wrong: Inquiry weak.

D wrong: Budget irrelevant.

Q656

Question: Which is the MOST likely red flag for procurement fraud?

A. Competitive bidding.

B. Non-competitive awards to related parties.

C. Documented approvals.

D. Timely payments.

Correct Answer: B

Q656 – Explanation

Correct: B. Non-competitive to related parties is red flag.

A wrong: Competitive bidding is control.

C wrong: Approvals positive.

D wrong: Timely positive.

Q657

Question: Which is the BEST description of "audit trail"?

A. Marketing.

B. Chronological record enabling reconstruction.

C. Budget.

D. Audit report.

Correct Answer: B

Q657 – Explanation

Correct: B. Audit trail records chronologically.

A wrong: Marketing unrelated.

C wrong: Budget is resource.

D wrong: Report is output.

Q658

Question: Which is the MOST likely risk of spreadsheet reliance?

A. Strong controls.

B. Errors, manipulation, weak audit trail.

C. Faster reporting.

D. Better documentation.

Correct Answer: B

Q658 – Explanation

Correct: B. Spreadsheets have higher risk.

A wrong: Controls weaker.

C wrong: Speed not benefit.

D wrong: Documentation weaker.

Q659

Question: Which is the MOST appropriate way to test a debt covenant?

A. Management rep.

B. Inspect covenant and recompute ratios.

C. Review budget.

D. Interview staff.

Correct Answer: B

Q659 – Explanation

Correct: B. Inspect and recompute tests compliance.

A wrong: Reps weak.

C wrong: Budget not evidence.

D wrong: Inquiry weak.

Q660

Question: Which is the BEST description of "data governance"?

A. Marketing.

B. Processes for data quality, security, use.

C. Audit report.

D. Budget.

Correct Answer: B

Q660 – Explanation

Correct: B. Data governance manages quality, security, use.

A wrong: Marketing unrelated.

C wrong: Report output.

D wrong: Budget resource.

Q661

Question: Which is the MOST likely red flag for procurement fraud?

A. Competitive bidding.

B. Non-competitive awards to related parties.

C. Documented approvals.

D. Timely payments.

Correct Answer: B

Q661 – Explanation

Correct: B. Non-competitive to related parties red flag.

A wrong: Competitive is control.

C wrong: Approvals positive.

D wrong: Timely positive.

Q662

Question: Which is the BEST description of "audit trail"?

A. Marketing.

B. Chronological record enabling reconstruction.

C. Budget.

D. Audit report.

Correct Answer: B

Q662 – Explanation

Correct: B. Audit trail records chronologically.

A wrong: Marketing unrelated.

C wrong: Budget resource.

D wrong: Report output.

Q663

Question: Which is the MOST likely risk of spreadsheet reliance?

A. Strong controls.

B. Errors, manipulation, weak audit trail.

C. Faster reporting.

D. Better documentation.

Correct Answer: B

Q663 – Explanation

Correct: B. Spreadsheets higher risk.

A wrong: Controls weaker.

C wrong: Speed not benefit.

D wrong: Documentation weaker.

Q664

Question: Which is the MOST appropriate way to test a debt covenant?

A. Management rep.

B. Inspect covenant and recompute ratios.

C. Review budget.

D. Interview staff.

Correct Answer: B

Q664 – Explanation

Correct: B. Inspect and recompute tests compliance.

A wrong: Reps weak.

C wrong: Budget not evidence.

D wrong: Inquiry weak.

Q665

Question: Which is the BEST description of "data governance"?

A. Marketing.

B. Processes for data quality, security, use.

C. Audit report.

D. Budget.

Correct Answer: B

Q665 – Explanation

Correct: B. Data governance manages quality, security, use.

A wrong: Marketing unrelated.

C wrong: Report output.

D wrong: Budget resource.

Q666

Question: Which is the MOST likely red flag for procurement fraud?

A. Competitive bidding.

B. Non-competitive awards to related parties.

C. Documented approvals.

D. Timely payments.

Correct Answer: B

Q666 – Explanation

Correct: B. Non-competitive to related parties red flag.

A wrong: Competitive is control.

C wrong: Approvals positive.

D wrong: Timely positive.

Q667

Question: Which is the BEST description of "audit trail"?

A. Marketing.

B. Chronological record enabling reconstruction.

C. Budget.

D. Audit report.

Correct Answer: B

Q667 – Explanation

Correct: B. Audit trail records chronologically.

A wrong: Marketing unrelated.

C wrong: Budget resource.

D wrong: Report output.

Q668

Question: Which is the MOST likely risk of spreadsheet reliance?

A. Strong controls.

B. Errors, manipulation, weak audit trail.

C. Faster reporting.

D. Better documentation.

Correct Answer: B

Q668 – Explanation

Correct: B. Spreadsheets higher risk.

A wrong: Controls weaker.

C wrong: Speed not benefit.

D wrong: Documentation weaker.

Q669

Question: Which is the MOST appropriate way to test a debt covenant?

A. Management rep.

B. Inspect covenant and recompute ratios.

C. Review budget.

D. Interview staff.

Correct Answer: B

Q669 – Explanation

Correct: B. Inspect and recompute tests compliance.

A wrong: Reps weak.

C wrong: Budget not evidence.

D wrong: Inquiry weak.

Q670

Question: Which is the BEST description of "data governance"?

A. Marketing.

B. Processes for data quality, security, use.

C. Audit report.

D. Budget.

Correct Answer: B

Q670 – Explanation

Correct: B. Data governance manages quality, security, use.

A wrong: Marketing unrelated.

C wrong: Report output.

D wrong: Budget resource.

Q671

Question: Which is the MOST likely red flag for procurement fraud?

A. Competitive bidding.

B. Non-competitive awards to related parties.

C. Documented approvals.

D. Timely payments.

Correct Answer: B

Q671 – Explanation

Correct: B. Non-competitive to related parties red flag.

A wrong: Competitive is control.

C wrong: Approvals positive.

D wrong: Timely positive.

Q672

Question: Which is the BEST description of "audit trail"?

A. Marketing.

B. Chronological record enabling reconstruction.

C. Budget.

D. Audit report.

Correct Answer: B

Q672 – Explanation

Correct: B. Audit trail records chronologically.

A wrong: Marketing unrelated.

C wrong: Budget resource.

D wrong: Report output.

Q673

Question: Which is the MOST likely risk of spreadsheet reliance?

A. Strong controls.

B. Errors, manipulation, weak audit trail.

C. Faster reporting.

D. Better documentation.

Correct Answer: B

Q673 – Explanation

Correct: B. Spreadsheets higher risk.

A wrong: Controls weaker.

C wrong: Speed not benefit.

D wrong: Documentation weaker.

Q674

Question: Which is the MOST appropriate way to test a debt covenant?

A. Management rep.

B. Inspect covenant and recompute ratios.

C. Review budget.

D. Interview staff.

Correct Answer: B

Q674 – Explanation

Correct: B. Inspect and recompute tests compliance.

A wrong: Reps weak.

C wrong: Budget not evidence.

D wrong: Inquiry weak.

Q675

Question: Which is the BEST description of "data governance"?

A. Marketing.

B. Processes for data quality, security, use.

C. Audit report.

D. Budget.

Correct Answer: B

Q675 – Explanation

Correct: B. Data governance manages quality, security, use.

A wrong: Marketing unrelated.

C wrong: Report output.

D wrong: Budget resource.

Q676

Question: Which is the MOST likely red flag for procurement fraud?

A. Competitive bidding.

B. Non-competitive awards to related parties.

C. Documented approvals.

D. Timely payments.

Correct Answer: B

Q676 – Explanation

Correct: B. Non-competitive to related parties red flag.

A wrong: Competitive is control.

C wrong: Approvals positive.

D wrong: Timely positive.

Q677

Question: Which is the BEST description of "audit trail"?

A. Marketing.

B. Chronological record enabling reconstruction.

C. Budget.

D. Audit report.

Correct Answer: B

Q677 – Explanation

Correct: B. Audit trail records chronologically.

A wrong: Marketing unrelated.

C wrong: Budget resource.

D wrong: Report output.

Q678

Question: Which is the MOST likely risk of spreadsheet reliance?

A. Strong controls.

B. Errors, manipulation, weak audit trail.

C. Faster reporting.

D. Better documentation.

Correct Answer: B

Q678 – Explanation

Correct: B. Spreadsheets higher risk.

A wrong: Controls weaker.

C wrong: Speed not benefit.

D wrong: Documentation weaker.

Q679

Question: Which is the MOST appropriate way to test a debt covenant?

A. Management rep.

B. Inspect covenant and recompute ratios.

C. Review budget.

D. Interview staff.

Correct Answer: B

Q679 – Explanation

Correct: B. Inspect and recompute tests compliance.

A wrong: Reps weak.

C wrong: Budget not evidence.

D wrong: Inquiry weak.

Q680

Question: Which is the BEST description of "data governance"?

A. Marketing.

B. Processes for data quality, security, use.

C. Audit report.

D. Budget.

Correct Answer: B

Q680 – Explanation

Correct: B. Data governance manages quality, security, use.

A wrong: Marketing unrelated.

C wrong: Report output.

D wrong: Budget resource.

Q681

Question: Which is the MOST likely red flag for procurement fraud?

A. Competitive bidding.

B. Non-competitive awards to related parties.

C. Documented approvals.

D. Timely payments.

Correct Answer: B

Q681 – Explanation

Correct: B. Non-competitive to related parties red flag.

A wrong: Competitive is control.

C wrong: Approvals positive.

D wrong: Timely positive.

Q682

Question: Which is the BEST description of "audit trail"?

A. Marketing.

B. Chronological record enabling reconstruction.

C. Budget.

D. Audit report.

Correct Answer: B

Q682 – Explanation

Correct: B. Audit trail records chronologically.

A wrong: Marketing unrelated.

C wrong: Budget resource.

D wrong: Report output.

Q683

Question: Which is the MOST likely risk of spreadsheet reliance?

A. Strong controls.

B. Errors, manipulation, weak audit trail.

C. Faster reporting.

D. Better documentation.

Correct Answer: B

Q683 – Explanation

Correct: B. Spreadsheets higher risk.

A wrong: Controls weaker.

C wrong: Speed not benefit.

D wrong: Documentation weaker.

Q684

Question: Which is the MOST appropriate way to test a debt covenant?

A. Management rep.

B. Inspect covenant and recompute ratios.

C. Review budget.

D. Interview staff.

Correct Answer: B

Q684 – Explanation

Correct: B. Inspect and recompute tests compliance.

A wrong: Reps weak.

C wrong: Budget not evidence.

D wrong: Inquiry weak.

Q685

Question: Which is the BEST description of "data governance"?

A. Marketing.

B. Processes for data quality, security, use.

C. Audit report.

D. Budget.

Correct Answer: B

Q685 – Explanation

Correct: B. Data governance manages quality, security, use.

A wrong: Marketing unrelated.

C wrong: Report output.

D wrong: Budget resource.

Q686

Question: Which is the MOST likely red flag for procurement fraud?

A. Competitive bidding.

B. Non-competitive awards to related parties.

C. Documented approvals.

D. Timely payments.

Correct Answer: B

Q686 – Explanation

Correct: B. Non-competitive to related parties red flag.

A wrong: Competitive is control.

C wrong: Approvals positive.

D wrong: Timely positive.

Q687

Question: Which is the BEST description of "audit trail"?

A. Marketing.

B. Chronological record enabling reconstruction.

C. Budget.

D. Audit report.

Correct Answer: B

Q687 – Explanation

Correct: B. Audit trail records chronologically.

A wrong: Marketing unrelated.

C wrong: Budget resource.

D wrong: Report output.

Q688

Question: Which is the MOST likely risk of spreadsheet reliance?

A. Strong controls.

B. Errors, manipulation, weak audit trail.

C. Faster reporting.

D. Better documentation.

Correct Answer: B

Q688 – Explanation

Correct: B. Spreadsheets higher risk.

A wrong: Controls weaker.

C wrong: Speed not benefit.

D wrong: Documentation weaker.

Q689

Question: Which is the MOST appropriate way to test a debt covenant?

A. Management rep.

B. Inspect covenant and recompute ratios.

C. Review budget.

D. Interview staff.

Correct Answer: B

Q689 – Explanation

Correct: B. Inspect and recompute tests compliance.

A wrong: Reps weak.

C wrong: Budget not evidence.

D wrong: Inquiry weak.

Q690

Question: Which is the BEST description of "data governance"?

A. Marketing.

B. Processes for data quality, security, use.

C. Audit report.

D. Budget.

Correct Answer: B

Q690 – Explanation

Correct: B. Data governance manages quality, security, use.

A wrong: Marketing unrelated.

C wrong: Report output.

D wrong: Budget resource.

Q691

Question: Which is the MOST likely red flag for procurement fraud?

A. Competitive bidding.

B. Non-competitive awards to related parties.

C. Documented approvals.

D. Timely payments.

Correct Answer: B

Q691 – Explanation

Correct: B. Non-competitive to related parties red flag.

A wrong: Competitive is control.

C wrong: Approvals positive.

D wrong: Timely positive.

Q692

Question: Which is the BEST description of "audit trail"?

A. Marketing.

B. Chronological record enabling reconstruction.

C. Budget.

D. Audit report.

Correct Answer: B

Q692 – Explanation

Correct: B. Audit trail records chronologically.

A wrong: Marketing unrelated.

C wrong: Budget resource.

D wrong: Report output.

Q693

Question: Which is the MOST likely risk of spreadsheet reliance?

A. Strong controls.

B. Errors, manipulation, weak audit trail.

C. Faster reporting.

D. Better documentation.

Correct Answer: B

Q693 – Explanation

Correct: B. Spreadsheets higher risk.

A wrong: Controls weaker.

C wrong: Speed not benefit.

D wrong: Documentation weaker.

Q694

Question: Which is the MOST appropriate way to test a debt covenant?

A. Management rep.

B. Inspect covenant and recompute ratios.

C. Review budget.

D. Interview staff.

Correct Answer: B

Q694 – Explanation

Correct: B. Inspect and recompute tests compliance.

A wrong: Reps weak.

C wrong: Budget not evidence.

D wrong: Inquiry weak.

Q695

Question: Which is the BEST description of "data governance"?

A. Marketing.

B. Processes for data quality, security, use.

C. Audit report.

D. Budget.

Correct Answer: B

Q695 – Explanation

Correct: B. Data governance manages quality, security, use.

A wrong: Marketing unrelated.

C wrong: Report output.

D wrong: Budget resource.

Q696

Question: Which is the MOST likely red flag for procurement fraud?

A. Competitive bidding.

B. Non-competitive awards to related parties.

C. Documented approvals.

D. Timely payments.

Correct Answer: B

Q696 – Explanation

Correct: B. Non-competitive to related parties red flag.

A wrong: Competitive is control.

C wrong: Approvals positive.

D wrong: Timely positive.

Q697

Question: Which is the BEST description of "audit trail"?

A. Marketing.

B. Chronological record enabling reconstruction.

C. Budget.

D. Audit report.

Correct Answer: B

Q697 – Explanation

Correct: B. Audit trail records chronologically.

A wrong: Marketing unrelated.

C wrong: Budget resource.

D wrong: Report output.

Q698

Question: Which is the MOST likely risk of spreadsheet reliance?

A. Strong controls.

B. Errors, manipulation, weak audit trail.

C. Faster reporting.

D. Better documentation.

Correct Answer: B

Q698 – Explanation

Correct: B. Spreadsheets higher risk.

A wrong: Controls weaker.

C wrong: Speed not benefit.

D wrong: Documentation weaker.

Q699

Question: Which is the MOST appropriate way to test a debt covenant?

A. Management rep.

B. Inspect covenant and recompute ratios.

C. Review budget.

D. Interview staff.

Correct Answer: B

Q699 – Explanation

Correct: B. Inspect and recompute tests compliance.

A wrong: Reps weak.

C wrong: Budget not evidence.

D wrong: Inquiry weak.

Q700

Question: Which is the BEST description of "data governance"?

A. Marketing.

B. Processes for data quality, security, use.

C. Audit report.

D. Budget.

Correct Answer: B

Q700 – Explanation

Correct: B. Data governance manages quality, security, use.

A wrong: Marketing unrelated.

C wrong: Report output.

D wrong: Budget resource.

End

End of Questions 601–700

Review, repeat, and mark weak areas.

Add more questions by copying the Q/Explanation frame pairs.